



Competitiveness, Resilience and Green Skills in SMEs

🕒 15 min · Supporting learning resource (LSM)

Module 1 · Understanding the Green Economy
Unit 5 · Competitiveness, Resilience and Green Skills for SMEs



Introduction

Sustainability is increasingly shaping how businesses compete and grow. For small and medium-sized enterprises (SMEs), environmental responsibility is no longer separate from economic performance. It influences efficiency, risk management, innovation, and long-term viability.

This Learning Support Material complements the core lesson by explaining how sustainability strengthens competitiveness and resilience, and why green skills are essential for future-oriented SMEs. It also helps learners reflect on skills development within their own organisation.

By reading this material, you will understand how investing in competences supports both environmental goals and business success.

Key concepts explained

Sustainability as a Driver of Competitiveness

Sustainability can strengthen competitiveness when integrated into business strategy. Resource efficiency, waste reduction, and responsible practices can reduce costs and enhance reputation.

Unlike traditional cost-based competition, sustainable competitiveness relies on adaptability, innovation, and long-term value creation.

SMEs that integrate environmental and social considerations into decision-making are better positioned to respond to market and regulatory changes.

Sustainability becomes a strategic advantage rather than an obligation.

Business Resilience in the Green Transition

Resilience refers to a firm's ability to anticipate, absorb, and adapt to external shocks while maintaining performance.

In the context of the green transition, SMEs face resource volatility, evolving regulations, and changing customer expectations. Resilient businesses:

- Adjust operations when conditions change
- Diversify supply chains
- Integrate environmental awareness into strategic planning

Resilience supports continuity and long-term competitiveness.

Green Skills and Future-Oriented Competences

Green skills are the knowledge, abilities, and attitudes that enable individuals and organisations to implement sustainable practices.

They include:

- Understanding environmental impacts
- Efficient resource management
- Sustainable innovation capability
- Digital skills linked to sustainability
- Strategic decision-making aligned with long-term goals

Different roles require different green competences: Managers need strategic and risk-management skills. Employees need operational and practical sustainability skills.

Entrepreneurs need innovation and opportunity-recognition abilities.

Identifying skills gaps is essential for future readiness.

Practical examples or typical situations

- A manufacturing SME provides training on energy-efficient production methods, resulting in reduced material losses and lower energy bills.
- A service-based SME trains managers to integrate sustainability criteria into procurement decisions, improving supplier performance and reputation.
- An entrepreneur develops innovation skills to identify new green market opportunities, expanding the company's customer base.
- These examples show how skills development supports both environmental performance and competitiveness.

Link to next unit

This unit concludes the exploration of how sustainability, competitiveness, and skills intersect.

In the next module, the focus will shift toward practical implementation strategies, supporting SMEs in translating sustainability principles into structured action.

Why this matters for SMEs

Competitiveness in the green economy depends on both strategy and skills.

Costs:

Employees trained in resource efficiency reduce waste and operational expenses.

Efficiency:

Green skills improve process optimisation and innovation capacity.

Daily operations:

Sustainability awareness influences procurement, production, logistics, and customer relations.

Without adequate skills, sustainability initiatives may remain superficial. With targeted training and development, SMEs can transform sustainability into measurable business performance.

Investing in skills is a long-term strategic decision that enhances adaptability and resilience.

Key takeaways

- Sustainability strengthens SME competitiveness and resilience.
- Business resilience depends on adaptability and strategic awareness.
- Green skills are essential for future-oriented growth.
- Different roles require different competences.
- Skills gaps can limit sustainability performance.
- Investing in training is a strategic business decision.

Reflection prompts

- Which green skills are currently present in your organisation?
- Where do skills gaps limit performance?
- Do managers and employees receive sustainability-related training?
- How could skills development improve competitiveness?
- What personal learning needs do you identify in relation to sustainability?